VERTEX COLOCATION PARTNERS
Data Center Colocation Proposal

Prepared for: Meridian Financial Services
Proposal Reference: VCP-2024-MFS-0312
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Prepared By	Marcus Webb, VP Enterprise Solutions
Account Manager	Rachel Nguyen, Senior Account Executive
Technical Lead	Thomas Okafor, Principal Solutions Architect
Contact	enterprise@vertexcolocation.com | (201) 555-8400
Facility Address	200 Interchange Boulevard, Secaucus, NJ 07094

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1. Executive Summary

Vertex Colocation Partners is pleased to present this proposal for hosting Meridian Financial Services' production infrastructure at our Secaucus, New Jersey facility. Our 185,000-square-foot Tier III data center provides the reliability, connectivity, and scalability required for financial services workloads while offering meaningful cost advantages over continued on-premises operation.

This proposal addresses Meridian's requirement to consolidate workloads from two existing facilities and migrate to a hybrid colocation model. We are proposing an initial allocation of 85 cabinets with 4.2 MW of power capacity, expandable to 150 cabinets and 6.5 MW without requiring contract renegotiation. Our facility's proximity to Meridian's Newark location (12 miles) and direct fiber connectivity to major financial exchanges in Secaucus and Carteret provide latency characteristics well suited to Meridian's trading and settlement workloads.

The total cost of this colocation arrangement over a three-year term, including power, cross-connects, remote hands support, and migration assistance, is projected at $5,695,000 — representing an estimated 14.8% reduction compared to continued operation of both existing facilities based on current lease rates, power costs, and staffing requirements.

2. Facility Specifications and Infrastructure

2.1 Building Overview

Parameter	Specification
Facility Name	Vertex Secaucus Campus — Building A
Address	200 Interchange Boulevard, Secaucus, NJ 07094
Year Constructed	2016 (Phase 1), 2020 (Phase 2 expansion)
Total Building Area	185,000 square feet across two data halls
Raised Floor Space	142,000 square feet (36-inch raised floor plenum)
Clear Height	14 feet slab-to-slab, 10.5 feet above raised floor
Floor Loading	250 lbs/sq ft on raised floor tiles (Tate ConCore 1250)
Total Cabinet Positions	450 cabinets (42U standard)
Current Occupancy	187 cabinets (41.6% occupied)
Uptime Tier Rating	Tier III (Concurrently Maintainable)
Annualized PUE	1.45 (trailing 12-month average, measured quarterly)
Seismic Rating	Zone 2A, building constructed to IBC 2015 standards
Roof Type	TPO membrane with 20-year warranty, 15-degree pitch

2.2 Structural and Mechanical Systems

The Secaucus facility was purpose-built for data center operations and features a reinforced concrete frame with steel superstructure. The building envelope includes 8-inch precast concrete wall panels with integrated vapor barrier and R-30 insulation. Roof construction uses steel bar joists with 3-inch metal deck and 4-inch rigid insulation beneath the TPO membrane. The building is designed to withstand sustained winds of 130 mph and is rated for a 100-year flood event, although the site elevation of 78 feet above sea level places it well above the FEMA 100-year and 500-year flood plains.

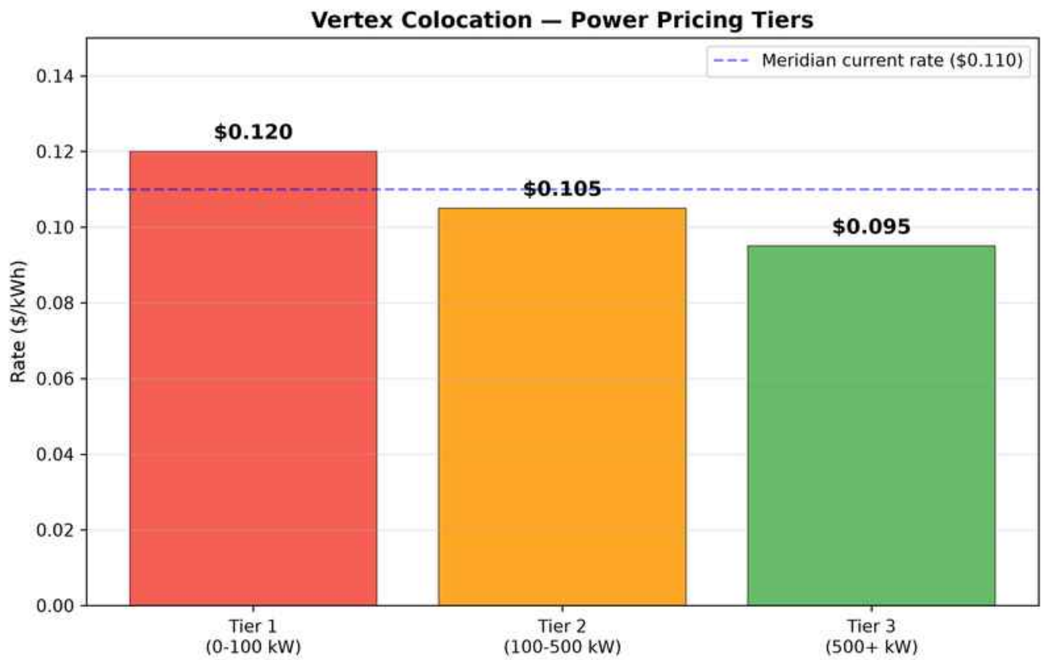
Mechanical systems include four roof-mounted 500-ton centrifugal chillers (Carrier AquaEdge 19XR) arranged in an N+1 configuration, providing a total cooling capacity of 2,000 tons with one unit available for maintenance or failure. Chilled water distribution uses a variable-primary-flow piping system with Belimo pressure-independent control valves at each CRAH unit. Thirty-two Liebert CRV in-row cooling units supplement the perimeter CRAH units in high-density zones, supporting cabinet power densities up to 25 kW per cabinet.

3. Power Infrastructure and Pricing

3.1 Utility Service and Redundancy

Primary utility power is delivered via dual 138kV transmission feeds from PSE&G;, stepping down through two independent 15MVA pad-mounted transformers to 480V three-phase service. The dual-feed arrangement provides automatic failover with a transfer time of less than 100 milliseconds via Russelectric automatic transfer switches. Each feed enters the building through separate utility vaults on opposite sides of the structure, providing physical path diversity.

Backup power is provided by five Caterpillar 3516C diesel generators, each rated at 2,500 kW in standby mode, providing a total backup capacity of 12.5 MW. Generators are configured in an N+1 arrangement with the facility's critical load of 8.5 MW, ensuring continued operation with any single generator offline for maintenance or failure. On-site fuel storage consists of a 20,000-gallon above-ground diesel tank providing approximately 48 hours of runtime at full load. Vertex maintains fuel delivery contracts with two independent suppliers guaranteeing 4-hour delivery response.



3.2 Power Pricing Schedule

Tier	Power Range	Rate ($/kWh)	Minimum Commitment	Metering
Tier 1	0 — 100 kW per cabinet average	$0.120	80% of contracted capacity	Per-cabinet branch circuit
Tier 2	100 — 500 kW aggregate	$0.105	75% of contracted capacity	Per-PDU aggregate
Tier 3	500+ kW aggregate	$0.095	70% of contracted capacity	Main distribution panel

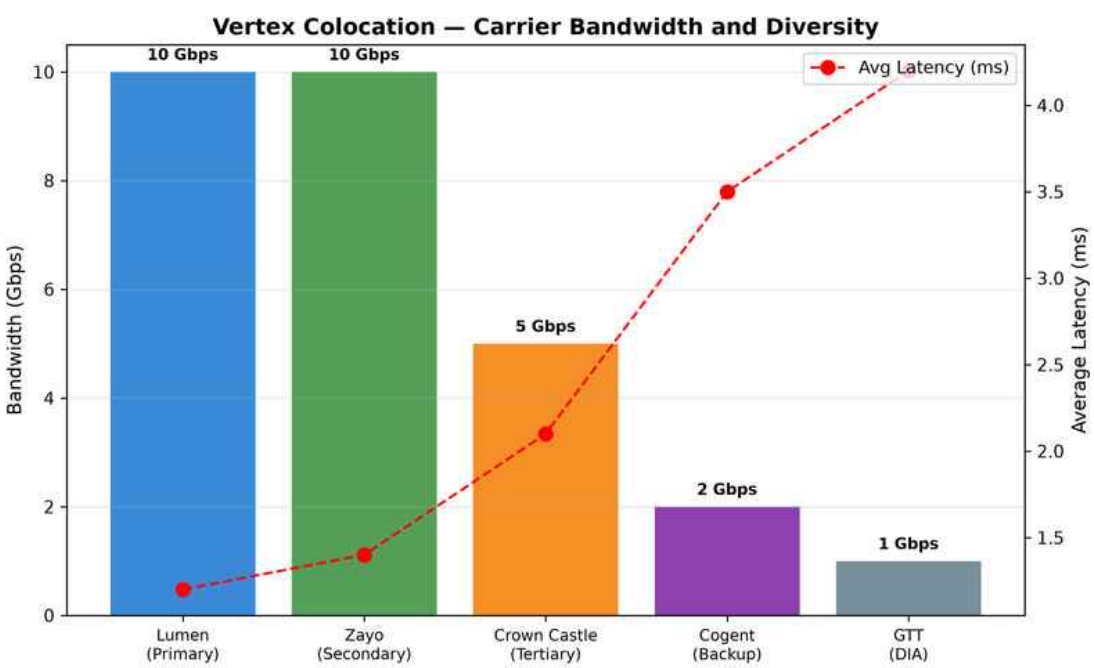
For Meridian's projected load of 2,800 kW (aggregate across 85 cabinets), the blended power rate under Tier 3 pricing would be $0.095/kWh, resulting in an estimated monthly power cost of $19,152 based on a 0.85 average utilization factor. Power factor correction charges apply when the measured power factor falls below 0.95; a surcharge of $0.008/kWh is assessed on the delta between measured and target power factor.

4. Network Connectivity and Carrier Ecosystem

4.1 Carrier Meet-Me Room

The Vertex Secaucus facility operates two physically separated meet-me rooms totaling 3,200 square feet, with 14 carriers currently present on-site. Meridian would have access to establish direct cross-connects to any carrier via single-mode fiber (LC/UPC termination) or copper (Cat6A) at the rates specified in Appendix B. The facility is connected to the Equinix NY2 and CyrusOne Secaucus campuses via dark fiber, enabling low-latency connectivity to major financial services ecosystems.

Carrier	Type	Available BW	Latency to NY2	Cross-Connect
Lumen Technologies	IP Transit + DIA	10 Gbps	0.8 ms	$300/mo per 1G SMF
Zayo Group	Wavelength + Dark Fiber	10 Gbps	0.6 ms	$300/mo per 1G SMF
Crown Castle Fiber	Lit Services	5 Gbps	1.2 ms	$300/mo per 1G SMF
Cogent Communications	IP Transit	2 Gbps	1.8 ms	$200/mo per 1G copper
GTT Communications	Dedicated Internet	1 Gbps	2.4 ms	$200/mo per 1G copper
Comcast Business	Ethernet + Internet	10 Gbps	1.5 ms	$300/mo per 1G SMF
Verizon Enterprise	MPLS + DIA	10 Gbps	1.0 ms	$300/mo per 1G SMF
AT&T; Business	Switched Ethernet	5 Gbps	1.3 ms	$300/mo per 1G SMF
Windstream	SD-WAN + MPLS	2 Gbps	2.0 ms	$200/mo per 1G copper
Telia Carrier	IP Transit (Tier 1)	10 Gbps	0.9 ms	$300/mo per 1G SMF

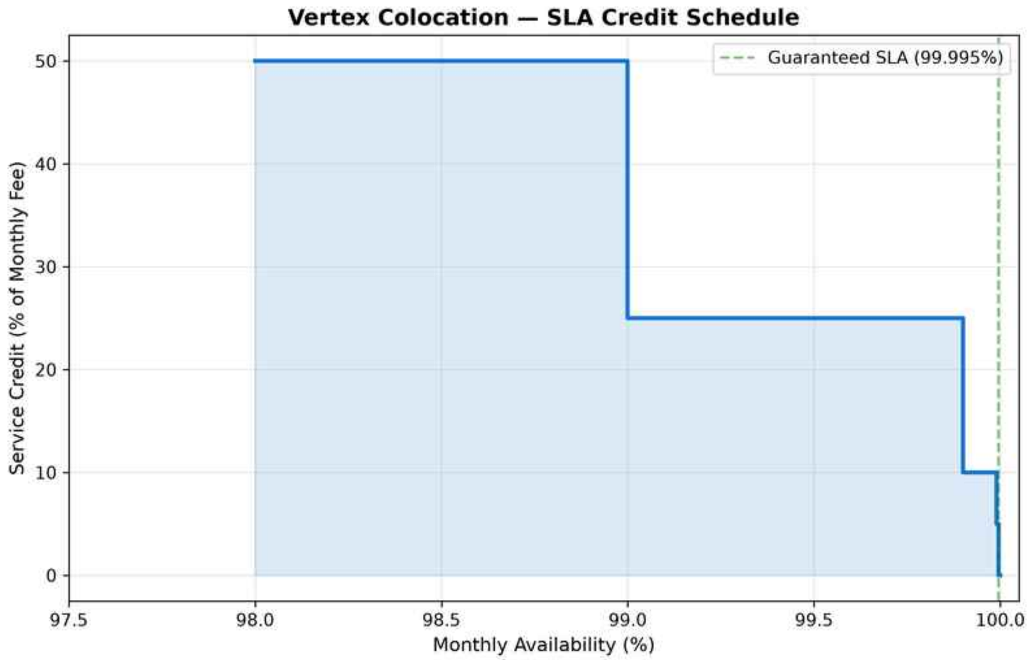


Vertex provides a 10 Gbps dedicated migration circuit at no additional charge during the initial migration period (first 120 days). This circuit uses a dedicated wavelength on the Zayo fiber ring and is physically separate from production traffic paths. Post-migration, this circuit can be repurposed as a production backup path at the standard cross-connect rate. Standard MTU is 1,500 bytes across all production circuits; jumbo frames (9,000 bytes) are available on dedicated wavelength services upon request.

5. Service Level Agreement and Guarantees

5.1 Availability Commitment

Vertex Colocation guarantees 99.995% monthly availability for power and cooling services, measured as the total minutes in the calendar month minus unplanned downtime minutes divided by total minutes. Scheduled maintenance is excluded from availability calculations and is conducted during pre-announced windows (Sundays 02:00 to 06:00 ET) with a minimum of 10 business days' advance notification. In a typical 30-day month (43,200 minutes), the 99.995% SLA permits a maximum of 2.16 minutes of unplanned downtime.



Monthly Availability	Credit Percentage	Credit Basis	Max Payout
99.995% — 99.99%	5% of monthly recurring charges	Applied to next invoice	5% MRC
99.99% — 99.9%	10% of monthly recurring charges	Applied to next invoice	10% MRC
99.9% — 99.0%	25% of monthly recurring charges	Applied to next invoice	25% MRC
Below 99.0%	50% of monthly recurring charges	Applied to next invoice	50% MRC

Service credits are the sole and exclusive remedy for any SLA breach. Credit requests must be submitted in writing within 30 calendar days of the incident. Maximum aggregate credits in any single month are capped at 50% of the monthly recurring charges for the affected services. Vertex provides a customer-accessible uptime dashboard with real-time monitoring data and historical availability reports downloadable in CSV format.

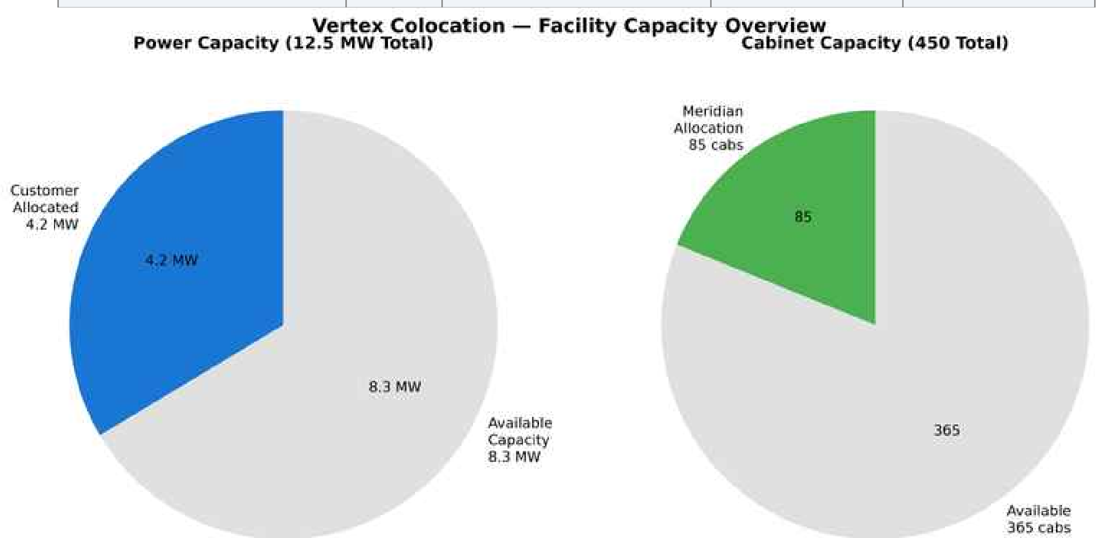
6. Cabinet and Space Allocation

6.1 Cabinet Specifications

Feature	Standard Cabinet	High-Density Cabinet	Network Cabinet
Height	42U (78.75 inches)	42U (78.75 inches)	42U (78.75 inches)
Width	600mm (23.6 inches)	800mm (31.5 inches)	600mm (23.6 inches)
Depth	1,070mm (42.1 inches)	1,200mm (47.2 inches)	800mm (31.5 inches)
Power Circuits	2x 30A 208V (L6-30)	2x 60A 208V (California)	1x 30A 208V (L6-30)
Max Power	8 kW continuous	25 kW continuous	4 kW continuous
PDU Configuration	2x vertical metered PDU	4x vertical metered PDU	1x vertical basic PDU
Network Drops	2x Cat6A + 2x SM fiber	4x Cat6A + 4x SM fiber	4x Cat6A + 8x SM fiber
Cable Management	Vertical and horizontal managers	Enhanced vertical, overhead tray	High-density patch panels
Cooling	Perimeter CRAH + blanking panels	In-row CRV + chimney containment	Perimeter CRAH
Monthly Rate	$1,200/cabinet	$2,800/cabinet	$800/cabinet

6.2 Proposed Allocation for Meridian

Category	Qty	Type	Monthly Rate	Monthly Total
Compute Cabinets	52	Standard (8 kW)	$1,200	$62,400
High-Density Compute	12	High-Density (25 kW)	$2,800	$33,600
Storage Cabinets	10	Standard (8 kW)	$1,200	$12,000
Network/Distribution	8	Network	$800	$6,400
Staging/Spare	3	Standard (8 kW)	$1,200	$3,600
Total	**85**			**$118,000**



7. Physical Security and Access Control

The Vertex Secaucus facility employs a multi-layered physical security model designed to meet the requirements of financial services clients operating under regulatory oversight from the SEC, FINRA, and OCC. Access to the facility is controlled through five distinct security zones, each requiring separate authentication.

Zone	Area	Access Method	Monitoring	Escort Required
Zone 1	Building perimeter and parking	Vehicle barrier + guard checkpoint	PTZ cameras (24/7), license plate recognition	No
Zone 2	Lobby and visitor reception	Photo ID verification + visitor log	Fixed cameras, staffed reception desk	Visitors: Yes
Zone 3	Operations center and NOC	Badge + PIN (4-digit)	Fixed cameras, motion sensors	Vendors: Yes
Zone 4	Data hall common areas	Biometric (hand geometry) + badge	Fixed + PTZ cameras, 90-day retention	No
Zone 5	Customer cage/cabinet	Biometric + badge + customer lock	Per-cage cameras, tamper detection	No

Access lists are managed through an online customer portal with real-time add/remove capability. Emergency access requires verbal authentication with two pre-registered security phrases and callback verification to a registered phone number. All access events are logged and available for customer audit within 4 hours of request. Security staffing includes a minimum of three uniformed guards on-site at all times, supplemented by roving patrols every 30 minutes.

8. Environmental and Cooling Systems

8.1 Cooling Architecture

The facility operates a chilled-water cooling plant with a design cooling capacity of 2,000 tons, distributed through a variable-primary-flow piping system. Cold aisle containment is deployed in all data halls, maintaining a supply air temperature of 68°F to 72°F (ASHRAE A1 recommended envelope). Hot aisle temperatures typically range from 95°F to 105°F, with chimney containment systems installed in high-density zones to prevent hot air recirculation.

System	Make/Model	Capacity	Redundancy	Efficiency
Chillers	Carrier AquaEdge 19XR	4 x 500 tons	N+1	0.56 kW/ton at full load
Cooling Towers	BAC Series 3000	4 x 600 tons	N+1	Approach: 7°F design
CRAH Units	Liebert DS 100	24 units, 100 kW each	N+2	EC fans, VFD-controlled
In-Row CRV	Liebert CRV 35	32 units, 35 kW each	1:1 per HD cab pair	Row-level containment
Economizer	Integrated free cooling	Active below 55°F OAT	N/A	1,800+ hours/year
Humidification	DriSteem GTS	8 units	N+1	Electrode steam, 40-60% RH target

9. Compliance and Certifications

Certification	Scope	Last Audit Date	Next Audit	Status
SOC 2 Type II	Security, Availability, Confidentiality	June 2024	June 2025	Current — report available under NDA
ISO 27001:2022	Information Security Management System	March 2024	March 2025	Certified — BSI Group
PCI DSS 4.0	Physical security controls (Section 9)	September 2024	September 2025	Validated — QSA attestation
HIPAA	Physical safeguards (Facility Access Controls)	January 2024	January 2025	Compliant — BAA available
Uptime Institute Tier III	Design and Facility certifications	February 2023	February 2026	Certified — TCCF and TCDD
NFPA 75/76	Fire protection for IT equipment	August 2024	August 2025	Compliant — FM Global inspected
LEED Gold	Sustainable building operations	2020	Ongoing	Certified — USGBC

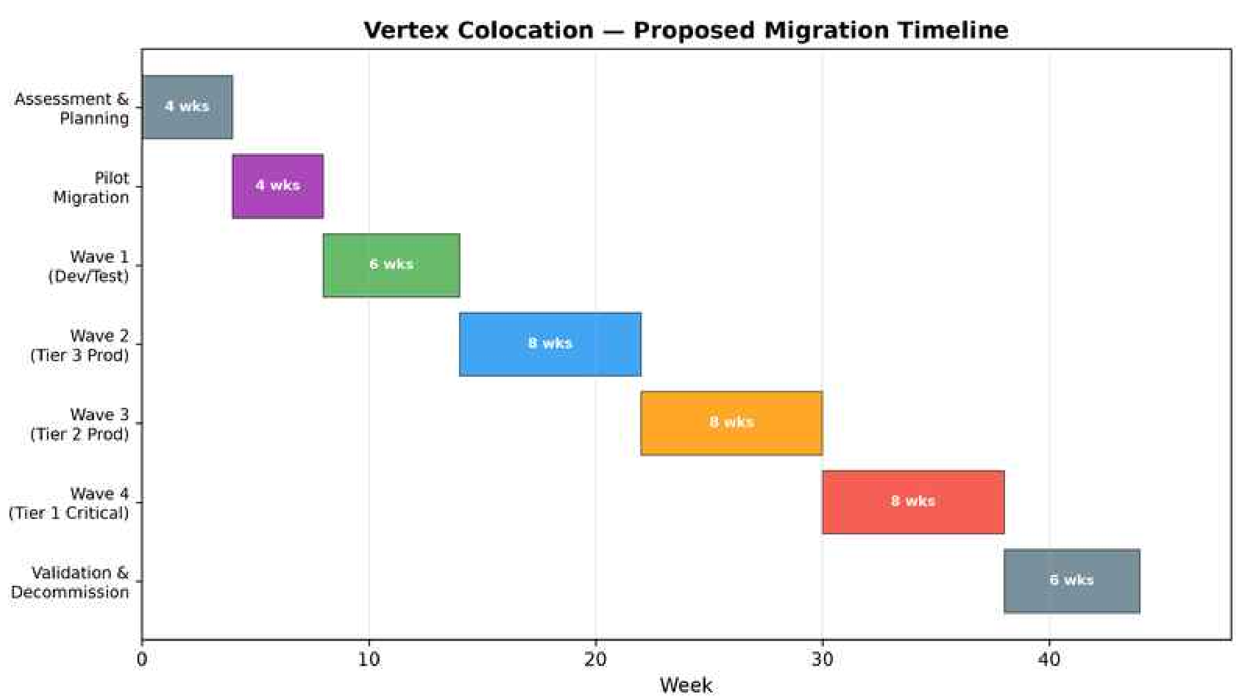
Vertex maintains a dedicated compliance team of four full-time staff who coordinate audit preparation, evidence collection, and remediation tracking. SOC 2 Type II and ISO 27001 reports are available to prospective customers under a mutual nondisclosure agreement. PCI DSS 4.0 validation covers the physical security controls relevant to co-located customer environments, including access control, CCTV surveillance, visitor management, and media destruction procedures.

10. Migration Support Services

10.1 Migration Program Overview

Vertex provides a structured migration program for enterprise customers, staffed by a dedicated project manager and two on-site technicians for the duration of the migration. The program includes physical rack preparation, cross-connect provisioning, power circuit activation, environmental baseline testing, and remote-hands support during migration windows.

Service	Description	Duration	Cost
Pre-Migration Assessment	On-site survey of existing facilities, equipment inventory, power requirements, and network architecture review	5 business days	Included in contract
Cabinet Preparation	Rack installation, PDU activation, cable management, blanking panels, labeling per customer standards	10 business days for 85 cabs	Included in contract
Cross-Connect Provisioning	Fiber and copper cross-connects to customer-specified carriers, tested with optical power measurements	3-5 business days per circuit	$300-$500/circuit/month
Dedicated Migration Circuit	10 Gbps dedicated wavelength for data migration traffic, separate from production paths	120 days from contract start	Included (first 120 days)
Physical Migration Support	On-site technicians for equipment racking, cabling, power-up, and initial verification during each migration wave	Per migration wave	$125/hour per technician
Remote Hands	24/7 remote hands support for hardware troubleshooting, cable moves, power cycling, and visual inspections	Ongoing	First 4 hours/month included; $95/hour thereafter
Project Management	Dedicated Vertex PM for migration planning, scheduling, status reporting, and escalation management	Duration of migration	Included in contract
Post-Migration Validation	Environmental monitoring review, power draw verification, network connectivity testing, and performance baseline	5 business days per wave	Included in contract



11. Pricing and Commercial Terms

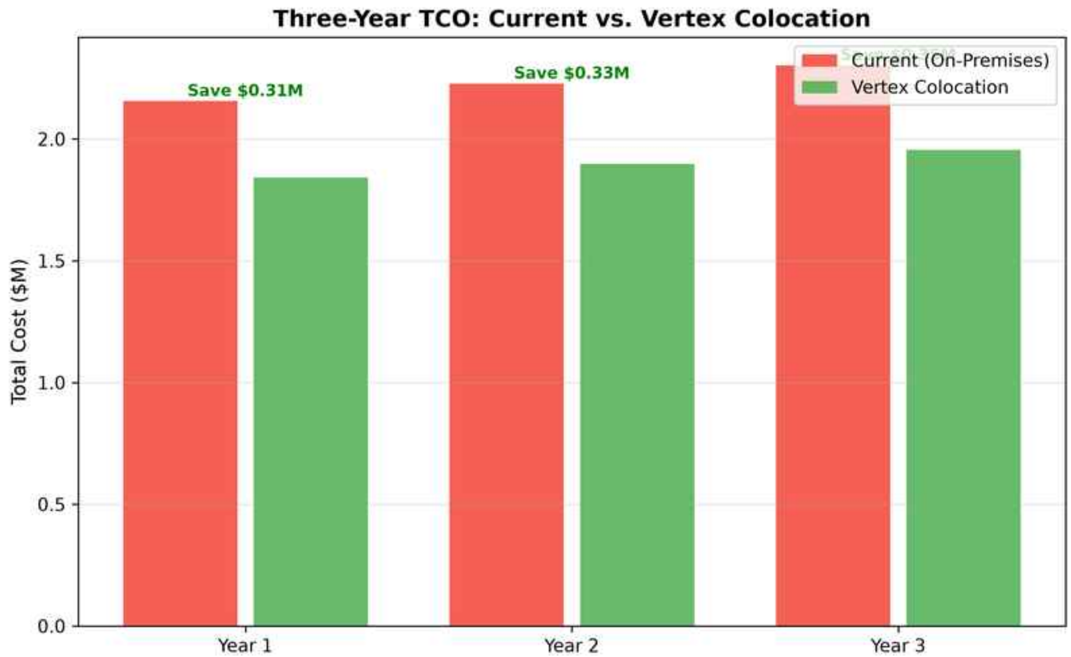
11.1 Monthly Recurring Charges

Line Item	Unit	Qty	Unit Rate	Monthly Total
Standard Cabinets (8 kW)	Per cabinet	65	$1,200	$78,000
High-Density Cabinets (25 kW)	Per cabinet	12	$2,800	$33,600
Network Cabinets	Per cabinet	8	$800	$6,400
Power (Tier 3, est. 2,800 kW)	Per kWh	~2,016,000 kWh	$0.095	$191,520
Cross-Connects (Fiber, 1G)	Per circuit	6	$300	$1,800
Cross-Connects (Copper, 1G)	Per circuit	4	$200	$800
Remote Hands (base allocation)	4 hrs/month included	1	Included	$0
IP Transit (1 Gbps blended)	Per Mbps committed	1,000	$0.50	$500
Estimated Monthly Total				**$312,620**

11.2 Contract Terms

Term	Detail
Initial Term	36 months from service commencement date
Renewal	Automatic renewal for successive 12-month periods; 90-day written non-renewal notice required
Annual Escalation	3.0% on cabinet and remote-hands rates; power rate fixed for initial term
Early Termination	0.50x remaining contract value (monthly recurring charges x remaining months)
Security Deposit	Two months' estimated monthly recurring charges ($625,240)
Payment Terms	Net 30 from invoice date; 1.5% monthly late fee
Insurance Requirements	$5M general liability, $2M property, $1M cyber liability
Expansion Option	Right to expand up to 150 cabinets at then-current rates with 60-day notice
Governing Law	State of New Jersey

12. Three-Year Total Cost of Ownership



Cost Category	Year 1	Year 2	Year 3	Three-Year Total
Cabinet Charges	$1,416,000	$1,458,480	$1,502,234	$4,376,714
Power (est. at 85% utilization)	$2,298,240	$2,298,240	$2,298,240	$6,894,720
Cross-Connects	$31,200	$31,200	$31,200	$93,600
Remote Hands (overage estimate)	$22,800	$28,500	$34,200	$85,500
IP Transit	$6,000	$6,000	$6,000	$18,000
Migration Support (Year 1 only)	$68,000	$0	$0	$68,000
Security Deposit (refundable)	$625,240	$0	($625,240)	$0
Annual Total	**$4,467,480**	**$3,822,420**	**$3,246,634**	**$11,536,534**
Annual Total (excl. deposit)	**$3,842,240**	**$3,822,420**	**$3,871,874**	**$11,536,534**

The three-year total cost of ownership under this proposal is estimated at $11,536,534, excluding the refundable security deposit. This represents a projected savings of $1,150,466 (9.1%) compared to the estimated $12,687,000 cost of continuing to operate both existing facilities over the same period, based on current lease rates, utility costs, and staffing requirements as provided by Meridian's finance team.

Appendix A: Rack Specifications and Floor Plan Notes

Standard cabinets are deployed in rows of 10 with hot-aisle containment using rigid acrylic panels and automatic drop-down doors triggered by the fire suppression system. Each row is served by a dedicated 100A three-phase whip from the floor PDU, with each cabinet receiving two independent 30A 208V circuits on separate PDU feeds for A/B power redundancy.

Specification	Standard Cabinet	High-Density
Cabinet Make/Model	APC NetShelter SX AR3100	APC NetShelter SX AR3300
Rail Type	Square-hole, tool-less mounting	Square-hole, tool-less mounting
Weight Capacity	2,250 lbs static, 1,755 lbs dynamic	3,000 lbs static, 2,250 lbs dynamic
Ventilation	Perforated front/rear doors (64% open area)	Perforated + active chimney exhaust
Locking	Electronic lock with audit trail + key override	Electronic lock + biometric option
Cable Entry	Top and bottom knockout panels	Top, bottom, and side entry options
Grounding	Two-point ground bus bar per cabinet	Four-point ground bus bar per cabinet
Monitoring	Door sensor, temperature (top/mid/bottom)	Door, temp, humidity, airflow, power
PDU Outlets	24x C13 + 6x C19 per PDU	30x C13 + 12x C19 per PDU

Appendix B: Cross-Connect Pricing and Options

Type	Speed	Connector	Monthly Rate	Install Fee	Lead Time
Single-Mode Fiber	1 Gbps	LC/UPC duplex	$300	$500	3 business days
Single-Mode Fiber	10 Gbps	LC/UPC duplex	$500	$750	3 business days
Single-Mode Fiber	100 Gbps	MPO-12	$1,500	$2,000	5 business days
Multi-Mode Fiber	1 Gbps	LC/UPC duplex	$250	$400	3 business days
Multi-Mode Fiber	10 Gbps	LC/UPC duplex	$400	$600	3 business days
Copper (Cat6A)	1 Gbps	RJ-45	$200	$300	2 business days
Copper (Cat6A)	10 Gbps	RJ-45	$350	$450	2 business days
Dark Fiber (intra-campus)	Customer-lit	LC/UPC duplex	$800	$1,500	10 business days

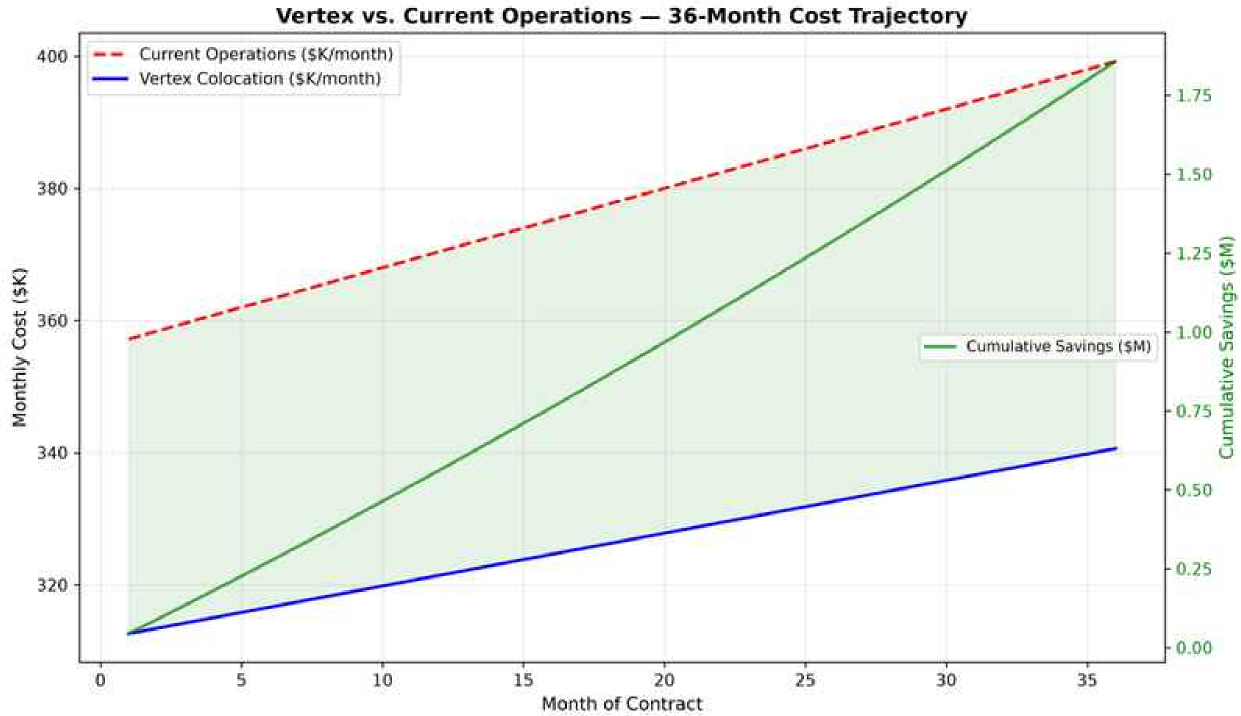
Appendix C: Financial Schedules

C.1 Monthly Invoice Breakdown (Estimated First Year)

Month	Cabinet MRC	Power	Cross-Connects	Remote Hands	Other	Total
Month 1	$118,000	$191,520	$2,600	$0	$9,000	$321,120
Month 2	$118,000	$192,320	$2,600	$0	$9,000	$321,920
Month 3	$118,000	$193,120	$2,600	$0	$9,000	$322,720
Month 4	$118,000	$193,920	$2,600	$1,900	$9,000	$325,420
Month 5	$118,000	$194,720	$2,600	$1,900	$9,000	$326,220
Month 6	$118,000	$195,520	$2,600	$1,900	$9,000	$327,020
Month 7	$118,000	$196,320	$2,600	$1,900	$9,000	$327,820
Month 8	$118,000	$197,120	$2,600	$1,900	$9,000	$328,620
Month 9	$118,000	$197,920	$2,600	$1,900	$500	$320,920
Month 10	$118,000	$198,720	$2,600	$1,900	$500	$321,720
Month 11	$118,000	$199,520	$2,600	$1,900	$500	$322,520
Month 12	$118,000	$200,320	$2,600	$1,900	$500	$323,320

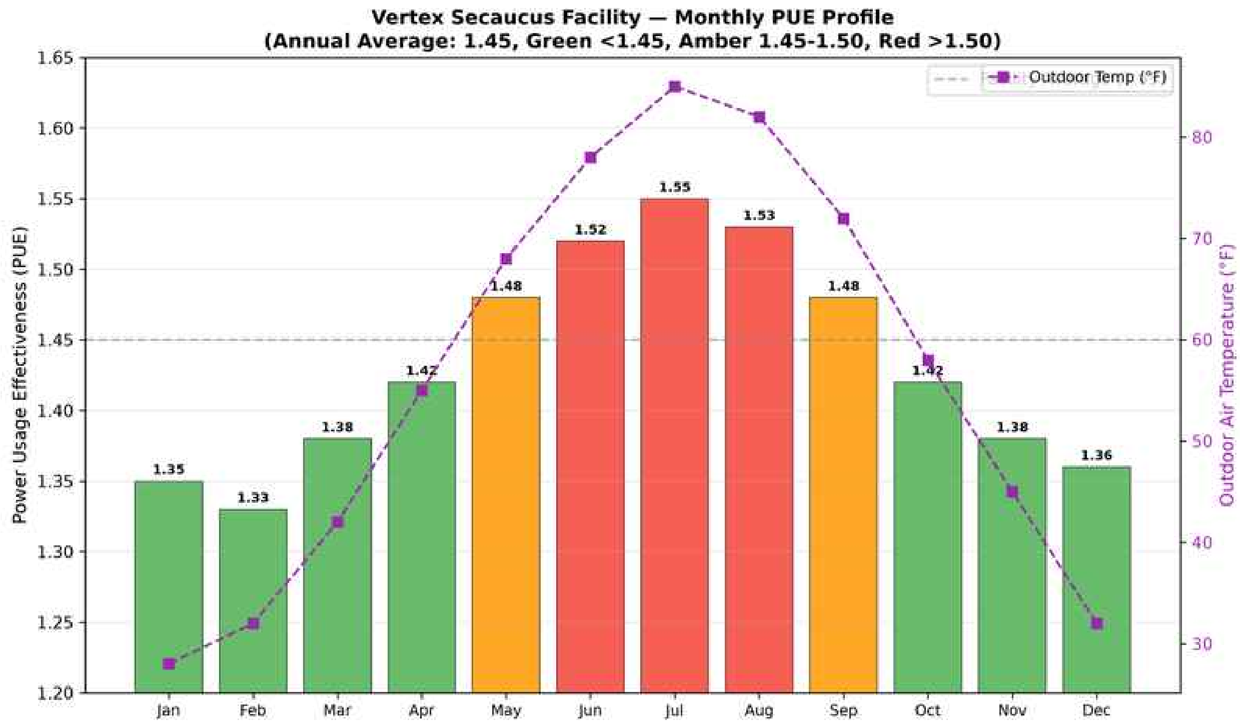
Appendix D: 36-Month Cost Trajectory Analysis

Month-over-month cost comparison between continued on-premises operations and the proposed Vertex colocation arrangement, showing cumulative savings crossing $1M by month 30.



Appendix E: Monthly PUE Profile and Temperature Correlation

Vertex Secaucus facility's monthly PUE measurements correlated with outdoor air temperature, demonstrating the impact of free cooling availability during cooler months on overall energy efficiency.



Service Credit Policy: Vertex Colocation guarantees that total service credits in any calendar month may equal up to 100% of that month's recurring charges if measured uptime falls below the contracted SLA threshold. Credit tiers: 99.99%-99.95%: 10% MRC; 99.95%-99.9%: 25% MRC; 99.9%-99.0%: 50% MRC; <99.0%: 100% MRC. No annual cap on cumulative credits.

Appendix F: Quarterly Cost Breakdown Projection

Stacked cost breakdown by major expense category projected quarterly over the first 18 months, showing migration support costs phasing out after Q3 2025 and steady-state operational costs stabilizing.